

Summit Point Logistics Park - Tax and Incentives Addendum

Prepared June 2026 | Tax diligence

Tax Assessment

The county assessor provided a preliminary post-completion assessment estimate. The sponsor's operating budget assumes partial tax abatement for the first three years following completion. The appraisal memo assumes a normalized tax load without full abatement benefit.

The addendum supports a normalized operating expense ratio between 26.00% and 28.00% after the abatement period.

Incentives and Abatement

Item	Value
Estimated first-year tax abatement	\$1,200,000
Abatement term	3 years
Normalized operating expense ratio range	26.00% - 28.00%
Tax reassessment risk reserve	\$3,200,000

Interpretation

The abatement benefit improves early-year cash flow but should not be capitalized into the terminal stabilized valuation unless a buyer is expected to receive the same benefit. The report recommends using normalized expenses for terminal valuation.